CONFIDENTIAL - MERGER AND ACQUISITION AGREEMENT
PROJECT HORIZON / TARGET ACQUISITION TRANSACTION
DATE: OCTOBER 24 2026

SECTION 4.1 INDEMNIFICATION AND HOLD HARMLESS
Target Corp agrees to fully indemnify and hold harmless the Buyer from all liabilities.
Buyer agrees to unlimited liability for environmental and historical litigation claims.

SECTION 7.3 CHANGE OF CONTROL
Any Change of Control requires unanimous prior written consent from minority debt holders.
Failure to obtain consent within 30 days triggers an automatic debt acceleration event.

SECTION 9.2 LIQUIDATED DAMAGES AND PENALTY
In the event of integration delay exceeding 45 days, Buyer shall pay a penalty of $500,000 per week.
Total liquidated damages are uncapped under this schedule.

SECTION 10.5 PAYMENT TERMS
Vendor invoices are subject to Net 90 payment terms from receipt of undisputed statement.

SECTION 14.2 EXECUTIVE RETENTION AND SEVERANCE
Upon closing, Tier 1 executives are entitled to an immediate golden parachute severance package.
Each C-level executive receives 3x annual base salary plus accelerated equity vesting.

SECTION 15.1 RESTRICTIVE COVENANTS
Key engineering personnel are bound by a 36-month non-compete restrictive covenant.